

made a considerable amount of money in cellular phone companies—LIN Broadcasting, Mobile Communications, and Telephone & Data Systems—that use the chips. I didn't buy VCR makers, but I have owned companies like Electronic Arts and Sierra On-Line, which make those video games that keep kids away from useful activities. Television is also dependent on semiconductors, but broadcasting stations have made more profits than the entire semiconductor industry put together. There is no comparing the genius it requires to run a semiconductor company and the minor talent it takes to run a television station. But I'm afraid that when you compare profit margins, it just proves the point that in this world the stupid people can make all the money. Most of the folks running electronics companies are indeed geniuses, and they've got a building full of even smarter geniuses out back, working like crazy to invent new stuff. But they end up struggling; they have problems in the competitive world. There's usually some nerd in Austin or Aoyama who's a little bit ahead of them. The geniuses cancel each other out. Even if you invent a brand new sixteen-meg chip, you'll still be surrounded by competitors. But if you have the only channel that can show *Home Improvement* at 7 P.M., you have a monopoly. All you have to do to run a cable company is get a license from the city and be mean to your customers.

Since the Industrial Revolution began, going downstream—investing in businesses that will benefit from new technology rather than investing in the technology companies themselves—has often proved the smarter strategy. The railroad, the product of the transforming technology of the steam locomotive, one of the greatest inventions in history, was obviously of supreme importance to the United States and its economy. But the makers of the locomotives, like Baldwin and American Locomotive Works, were not terribly profitable. The railroads themselves were moderately profitable for a while, but in the end most of them fared poorly or went broke. (Their capital came mostly from abroad, an international wealth transfer, a sort of Marshall Plan in reverse. The savings in English